

# PHEV Duty Concerns

Concerns over the EU potentially extending countervailing duties to PHEVs have furthered the recent China auto sector unwind. We think the sell-off prices in a worst-case scenario and think OEMs will adapt accordingly.

**Potential duties on PHEV:** Beyond the broader index correction, we think today's 3-5% decline across OEMs vs. HSI (-0.5%) is likely driven by concerns over potential EU countervailing duties being imposed on Chinese-made PHEVs, after a June 19 report in Handelsblatt (see [here](#) for details). The EU has not commented. Chinese-made BEVs have attracted EU duties since 2024, and OEMs have shifted their European export mix accordingly. If duties were imposed on PHEVs, this could raise costs and alter this strategic pivot. We note the sharpest auto share price declines are concentrated in those with significant southbound floats, rather than those with the highest direct PHEV exposure.

**PHEV shift after BEV duties:** The EU's 2024 BEV duties (7.8-35.3% plus the 10% base tariff) exempted PHEVs, prompting Chinese OEMs to redirect exports accordingly. PHEVs now account for 24% of Chinese exports to the EU, up from 6% in 2024.

**Could PHEVs follow the same path as BEVs?** The introduction of duties on BEVs appears to have had little effect on China's overall export momentum or competitive dynamics, despite some shift in the mix toward PHEVs. We wonder if the EU will seek a different approach if it is to introduce duties on PHEVs.

**EU exports could see a short-term boost:** Given details are unlikely to be confirmed in the next 1-2 months, Chinese OEMs could opt to expedite channel stuffing, as was the case with BEVs in 2024.

**PHEV exposure varies across OEMs:** According to MarkLines data, SAIC, Chery (not covered), and BYD could derive more than 20% of their overseas sales from PHEVs sold in the EU following the volume push since 2024, followed by Geely and Leapmotor (not covered). While EV start-ups such as NIO and XPeng have also sold off today, as sentiment turns increasingly binary, their direct exposure remains limited.

**Global collaboration:** A broader escalation from BEVs towards NEV stack could see Chinese EV OEMs localize their production in the EU or sell from factories outside of China. We continue to favor XPeng (9868.HK, OW), given its local partnerships, and SAIC (600104.SS, OW) for rerating opportunities, while BYD (1211.HK, OW) and Geely (0175.HK, OW) also appear well-equipped to navigate the associated risks with multiple production sites, despite potential knee-jerk market reactions.

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|-------------------------------|---------|
| CHINA AUTOS & SHARED MOBILITY |         |
| Asia Pacific                  | In-Line |
| Industry View                 |         |

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# Valuation Methodology and Risks

## Geely Automobile Holdings (0175.HK)

Base case, DCF. We assume a WACC of 11.2% and terminal growth rate of 3%.

### Risks to Upside

- Continuous NEV market share gain domestically.
- More meaningful reduction in losses for its NEV businesses, via scale benefits.
- Stronger-than-expected profitability, driven by higher overseas sales.

### Risks to Downside

- More notable than expected slowdown in domestic vehicle demand.
- Expanding losses at Geely's NEV businesses amid price competition.
- A slowdown in overseas sales due to competition and protectionism.

## BYD Company Limited (1211.HK)

Blended methodology, weighted 25% bull, 50% base, 25% bear. We think incremental volume from ADAS adoption and trade-in stimulus extension could partially offset the fierce competitive landscape in the mass market segment.

- Bull: SOTP, implying 40x 2026E bull P/E. Reflects re-rating of comps (CATL, EV startups).
- Base: DCF (14.3% WACC, 3.0% long-term growth).
- Bear: 12x 2026E P/E - worse auto sales domestically and overseas, more severe price cuts.

### Risks to Upside

- New model launches
- Faster-than-expected overseas expansion
- Stronger-than-expected demand for NEVs globally

### Risks to Downside

- Lack of progress in overseas expansion amid rising protectionism
- Weaker-than-expected demand for NEVs globally
- Worse-than-expected gross margin

## SAIC Motor Corp. Ltd. (600104.SS)

Base case, DCF. We assume a WACC of 10.4% and terminal growth of 2%.

### Risks to Upside

- More notable local brand market share expansion domestically from a low base
- Global expansion rollout leveraging the company's MG brand
- Gains from strategic investments
- Successful NEV transition by JV

### Risks to Downside

- Slower domestic demand to dwarf SAIC's restructuring efforts
- Additional costs from JVs' NEV transition
- Initial losses with respect to global expansion
- Unexpected losses from non-core businesses

**XPeng Inc. (9868.HK)**

Derived from our ADR price target using 7.85 HKD/USD. We assign 30%/50%/20% weightings to our bull/base/bear case scenarios - the bull/bear weighting reflects the potential for valuation re-rating from non-vehicle business/the macro outlook to weaken and sector competition to worsen.

Key base case assumptions: 3% terminal growth rate, 1.6x beta, 12.8% WACC.

**Risks to Upside**

- More competitive model introductions that drive volume growth
- Greater-than-expected margin expansion
- Better-than-expected branding with superior in-car user experience

**Risks to Downside**

- Intensified competition in the mid-/high-end segments
- Cash flow pressure with lower profitability
- Moderating auto sales growth pressuring overall industry valuation



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|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1542              | 42%        | 465                              | 51%            | 30%                  | 707                                               | 43%                   |
| Equal-weight/Hold     | 1571              | 43%        | 369                              | 40%            | 23%                  | 723                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 0                                | 0%             | 0%                   | 1                                                 | 0%                    |
| Underweight/Sell      | 551               | 15%        | 86                               | 9%             | 16%                  | 201                                               | 12%                   |
| Total                 | 3,667             |            | 920                              |                |                      | 1632                                              |                       |

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## Stock Price, Price Target and Rating History (See Rating Definitions)



BYD Company Limited (1211.HK) - As of 06/22/26 GMT in HKD  
Industry : China Autos & Shared Mobility



Stock Rating History: 6/1/21 : E/C; 6/8/21 : U/C; 9/1/21 : U/A; 2/8/22 : E/A; 8/25/22 : E/I; 4/14/25 : O/I

Price Target History: 10/13/20 : 126; 6/8/21 : 132; 11/16/21 : 242; 2/8/22 : 256; 7/8/22 : 300; 11/3/22 : 220; 3/20/23 : 215; 7/28/23 : 249; 10/31/23 : 242; 1/8/24 : 239; 3/10/24 : 225; 8/7/24 : 209; 9/17/24 : 230; 1/13/25 : 270; 3/18/25 : 307; 4/14/25 : 438; 6/11/25 : 146; 8/30/25 : 137; 10/13/25 : 130; 10/31/25 : 126; 5/11/26 : 121

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Geely Automobile Holdings (0175.HK) - As of 06/22/26 GMT in HKD  
Industry : China Autos & Shared Mobility



Stock Rating History: 6/1/21 : U/C; 9/1/21 : O/A; 8/25/22 : O/I; 2/7/23 : NA/I; 6/26/24 : O/I

Price Target History: 12/9/20 : 13; 9/1/21 : 35; 3/16/22 : 20; 6/28/22 : 22; 2/7/23 : NA; 6/26/24 : 11.2; 1/13/25 : 17; 2/28/25 : 21; 8/15/25 : 24; 12/8/25 : 25; 5/7/26 : 28

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Industry : China Autos & Shared Mobility

Stock Rating History: 6/1/21 : E/C; 9/1/21 : E/A; 11/25/21 : O/A; 8/25/22 : O/I

Price Target History: 12/9/20 : 25; 6/24/21 : 23; 11/25/21 : 27; 8/25/22 : 22; 3/20/23 : 19; 5/12/23 : 18; 1/8/24 : 17.5; 1/13/25 : 20.1; 6/3/25 : 22.2; 9/4/25 : 22.9; 6/16/26 : 20.1

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Industry : China Autos & Shared Mobility

Stock Rating History: 11/16/21 : O/A; 8/25/22 : O/I

Price Target History: 11/16/21 : 275; 3/23/22 : 165; 7/8/22 : 160; 10/3/22 : 71; 11/3/22 : 43; 3/20/23 : 48; 7/28/23 : 99;

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## INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)

RATING (AS OF)

PRICE\* (06/22/2026)

**Joey Xu, CFA**

|                                                    |                |          |
|----------------------------------------------------|----------------|----------|
| Anhui Jianghuai Automobile (600418.SS)             | E (08/19/2023) | Rmb30.67 |
| BAIC Motor (1958.HK)                               | E (10/02/2025) | HK\$0.90 |
| Brilliance China Automotive (1114.HK)              | E (03/31/2025) | HK\$2.13 |
| Chongqing Changan Automobile (000625.SZ)           | E (03/03/2026) | Rmb7.36  |
| Guangzhou Automobile Group (601238.SS)             | U (10/23/2019) | Rmb5.50  |
| Guangzhou Automobile Group (2238.HK)               | O (05/05/2020) | HK\$2.24 |
| Huayu Automotive (600741.SS)                       | O (09/08/2020) | Rmb16.60 |
| Jiangsu Changshu Automotive Trim Group (603035.SS) | E (08/14/2023) | Rmb10.91 |
| Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)   | E (05/05/2026) | Rmb26.22 |
| SAIC Motor Corp. Ltd. (600104.SS)                  | O (11/25/2021) | Rmb10.50 |
| Voyah Automotive Technology Co. Ltd. (7489.HK)     | O (03/31/2026) | HK\$3.72 |
| Zhengzhou Yutong Bus Co (600066.SS)                | E (09/22/2023) | Rmb27.42 |

**Shelley Wang, CFA**

|                                                      |                |           |
|------------------------------------------------------|----------------|-----------|
| Beijing Jingwei Hirain Technologies (688326.SS)      | U (09/27/2024) | Rmb74.38  |
| Bethel Automotive Safety Systems Co Ltd (603596.SS)  | O (12/11/2023) | Rmb27.64  |
| Changzhou Xingyu Automotive Lighting Sys (601799.SS) | O (09/27/2024) | Rmb111.04 |
| China MeiDong Auto Holdings Ltd (1268.HK)            | E (01/08/2024) | HK\$0.56  |
| China Yongda Automobiles Services (3669.HK)          | E (08/13/2024) | HK\$0.72  |
| Foryou Corporation (002906.SZ)                       | O (03/06/2024) | Rmb27.84  |
| Fuyao Glass Industry Group (600660.SS)               | E (12/01/2016) | Rmb50.05  |
| Fuyao Glass Industry Group (3606.HK)                 | E (12/01/2016) | HK\$50.40 |
| Huizhou Desay SV Automotive Co Ltd (002920.SZ)       | O (02/28/2025) | Rmb86.94  |
| Keboda (603786.SS)                                   | O (01/17/2024) | Rmb46.48  |
| Minth Group Limited (0425.HK)                        | O (08/24/2015) | HK\$28.54 |
| NavInfo Co Ltd (002405.SZ)                           | U (03/06/2024) | Rmb7.17   |
| Nexteer Automotive Group (1316.HK)                   | E (02/28/2025) | HK\$4.18  |
| Ningbo Joyson Electronic Corp (600699.SS)            | E (03/11/2026) | Rmb23.79  |
| Ningbo Tuopu Group Co Ltd (601689.SS)                | E (11/12/2025) | Rmb60.19  |
| Ningbo Xusheng Group Co Ltd (603305.SS)              | E (06/18/2025) | Rmb13.49  |
| Suzhou Recodeal Interconnect System (688800.SS)      | U (09/27/2024) | Rmb97.91  |
| TUHU Car Inc (9690.HK)                               | O (07/29/2024) | HK\$12.04 |
| Zhejiang Sanhua Intelligent Controls (002050.SZ)     | E (11/12/2025) | Rmb45.23  |
| Zhongsheng Group Holdings (0881.HK)                  | O (10/12/2021) | HK\$5.13  |

**Tim Hsiao**

|                                              |                |           |
|----------------------------------------------|----------------|-----------|
| BAIC BluePark New Energy (600733.SS)         | U (08/07/2024) | Rmb5.52   |
| BYD Company Limited (002594.SZ)              | O (04/14/2025) | Rmb87.59  |
| BYD Company Limited (1211.HK)                | O (04/14/2025) | HK\$78.35 |
| EHang Holdings Ltd (EH.O)                    | O (03/13/2025) | US\$7.03  |
| Geely Automobile Holdings (0175.HK)          | O (06/26/2024) | HK\$17.45 |
| Great Wall Motor Company Limited (601633.SS) | U (03/16/2022) | Rmb17.02  |
| Great Wall Motor Company Limited (2333.HK)   | E (01/08/2024) | HK\$9.76  |
| Hesai Group (HSAI.O)                         | O (07/28/2025) | US\$16.89 |
| Horizon Robotics (9660.HK)                   | O (12/02/2024) | HK\$4.15  |
| Li Auto Inc. (LI.O)                          | O (08/24/2020) | US\$13.21 |
| Li Auto Inc. (2015.HK)                       | O (11/16/2021) | HK\$50.50 |
| NIO Inc. (9866.HK)                           | O (10/03/2022) | HK\$39.22 |
| NIO Inc. (NIO.N)                             | O (08/26/2020) | US\$5.02  |
| WeRide Inc (WRD.O)                           | O (11/19/2024) | US\$6.35  |
| XPeng Inc. (9868.HK)                         | O (11/16/2021) | HK\$51.55 |
| XPeng Inc. (XPEV.N)                          | O (01/29/2021) | US\$13.21 |

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